

Insurers wary as Singapore targets digital assets

Singapore is making a bid to become a regional hub for digital assets as China and India crack down on cryptocurrencies, but insurers remain wary of this new and volatile class of risks.

Earlier this week, the Monetary of Singapore licensed the city-state's first cryptocurrency exchange, which is operated by Australia's Independent Reserve. Dozens of others are reportedly waiting for approvals as interest in digital assets has increased this year amid soaring prices for cryptocurrencies and non-fungible tokens (NFTs).

The city was also at the centre of the biggest digital asset story of the year, when local entrepreneur Vignesh Sundaresan paid a record US\$69 million (actually 42,329 in cryptocurrency ether) for an NFT by digital artist Beeple at a landmark Christie's auction.

Collectors who spend that kind of money on art would normally want to insure it (as we wrote about recently), but established insurance solutions for NFTs are not widely available.

"We have seen a few exploratory enquiries for NFTs in the past few months but appetite amongst specie underwriters is limited with only a handful in Lloyd's of London being able to offer some cover," Rhianon Alban-Davies, Asia regional head of fine art and specie at Willis Tower Watson told InsuranceAsia News (IAN).

"We know that a few underwriters in Asia are exploring this and expect to see more solutions being offered albeit at low limits," she added. "Understanding the risk exposure and the basis of valuation, considering there have been few

NFT sales on the secondary market, has been a challenge."

There is a market for digital artworks that are not on a blockchain platform and NFTs could ultimately end up being relatively easy to insure as they are extremely secure. Establishing valuations is the bigger challenge.

Cryptocurrencies

Valuations are also a challenge in the crypto sector. Prices of bitcoin and ether rose by hundreds of percent at the start of the year, only to collapse again after China cracked down on the crypto sector and indicated that it may be headed to a total ban, despite the country's prolific role in bitcoin mining. India is also considering legislation that will make it illegal to own private cryptocurrencies.

Such wild volatility makes this a difficult class of business to insure, but there is some capacity available for well-regulated crypto exchanges in the region — at a price.

In Australia, Independent Reserve charges A\$35,000 (US\$26,000) a year for accounts that offer insurance protection up to A\$5 million. Now that it is licensed, it may start offering insurance in Singapore.

Munich Re is one (re)insurer that has been willing to underwrite such risks. Curv, a digital asset security platform bought by PayPal in May, announced a deal with the German company in 2019 to insure up to

US\$50 million in crypto assets stored in the cloud.

However, a spokesperson for Munich Re told IAN that its appetite for this kind of risk is very limited and that it offers small coverage elements only. "In terms of underwriting this risk, we take care to understand the business model behind the technical solution and exclude certain covers (eg, fraud, loss of digital assets)."

To highlight the challenge that volatility poses, a US\$50 million portfolio of ether would have increased in value to around US\$170 million today (or more than US\$260 million in April).

Digital assets may eventually emerge as a significant class of business for insurers, but the underlying technology is already helping to modernise the industry.

Distributed ledger and blockchain technology can eliminate many of the legacy manual processes that make insurance slow, complicated and expensive.

Bharti AXA in India says that a motor insurance solution from Ledgertech, which is built on the Corda blockchain, has cut its costs per claim by 20%.

As the industry becomes more familiar with such solutions it may also become more comfortable with digital assets that leverage the same technology — assuming that valuations stabilise.